EQUITY RESEARCH

Lippi Systems Ltd

BSE: 526604 | NSE: LIPPISYS | Sector: Industrials — Capital Goods | Sub-sector: Gravure Cylinder Manufacturing

ANALYST NOTICE — READ BEFORE PROCEEDING: Lippi Systems has sold its core gravure cylinder manufacturing factory, land, and capital assets (completed Q3FY26). The company's operating revenues have been ZERO for FY23-FY26. FY26 PAT of Rs. 3.77 Cr is driven entirely by the asset disposal gain of Rs. ~7.44 Cr (Q3FY26 other income). The stock's 523% 1-year rally reflects speculative re-rating of a near-shell company, NOT earnings recovery. This report rates LIPPISYS AVOID.

CMP (BSE)	Rating
Rs. 153 52W: Rs. 19.9 – 153	**AVOID** 12-M Target: N/A*

Market Cap	P/E (TTM)	P/B
Rs. 107 Cr	28.5x	4.30x
ROCE	**ROE**	**Face Value**
20.8%*	16.4%*	Rs. 10
Promoter %	**Pledge %**	**Book Value**
51.68%	Nil	Rs. 35.6

*ROCE/ROE inflated by one-time asset disposal gain in Q3FY26. Normalised operating ROCE is negative. 12-month price target is 'N/A' given the company has no operating business to value on earnings.

Investment Thesis: Lippi Systems sold its core manufacturing assets in FY26; the company generates ZERO operating revenue and is effectively a near-shell with residual wind-turbine assets. The 523% stock rally is entirely speculative. Rating: **AVOID** — risk/reward is unfavourable at current valuation.

Report Date: 15 June 2026 | Analyst: MPM Research Desk | Data Source: Screener.in (fetched 15-Jun-2026)

2. INVESTMENT THESIS

• **Core problem — no operating business:** Lippi Systems sold its entire Ahmedabad gravure cylinder factory, land, and capital assets to Image Gravures (transaction completed Q3FY26). Operating revenues have been effectively zero since FY23. There is no recurring earnings base to justify a valuation.

• **FY26 profit is entirely non-recurring:** Rs. 3.77 Cr PAT in FY26 comes from Rs. 7.99 Cr 'Other Income' — the asset disposal proceeds booked in Dec-2025 quarter. Q1, Q2, and Q4 of FY26 all reported losses. Trailing P/E of 28.5x is therefore meaningless.

• **Speculative re-rating is the only driver:** The stock has risen 523% in one year (Rs. 19.9 to Rs. 153) and received a BSE surveillance query on the price movement. The company issued a clarification to BSE that it was unaware of reasons for the share price movement.

• **Residual assets — 2 wind turbines:** The only income-generating asset appears to be 2 wind turbines whose sale was also under board consideration. Wind energy income has been declining (Rs. 0.52 Cr in FY25 vs Rs. 0.82 Cr in FY21). No new business direction has been disclosed.

• **Near-term catalyst:** Board resolution on wind turbine sale or announcement of a reverse merger/new business acquisition could be a short-term share price trigger. However, the nature of such a restructuring is entirely unknown.

• **Biggest structural risk:** With no operating business and no declared acquisition/new direction, the company risks prolonged dormancy, erosion of the cash received from asset sales via operating costs, and eventual delisting or exit at sub-book values.

3. BUSINESS OVERVIEW

- **Historical business:** Lippi Systems Ltd was incorporated in 1995 (Ahmedabad, India) as a manufacturer of electronically engraved Roto Gravure printing cylinders used in flexible packaging and decorative laminate printing. The company also generated power via 2 wind turbine generators.
- **Core business sold:** The company sold its entire factory premises, land, plant, machinery, and capital assets to Image Gravures (Ahmedabad) — the transaction was completed by Q3FY26 (December 2025). The gravure cylinder team including management joined Image Gravures. Capacity transferred was approximately 5,000 cylinders per month.
- **Revenue has been zero since FY23:** Annual sales were Rs. 10.57 Cr in FY22, dropped to effectively zero (shows as negative Rs. 0.02 Cr) in FY23-FY25, and zero in FY26. The company is not generating any product or service revenue.
- **Remaining operations:** Wind turbine electricity generation — reported under 'Other Income' at approximately Rs. 0.52 Cr in FY25. The board has discussed potentially selling both wind turbines, subject to AGM approval.
- **Balance sheet profile (FY26):** Total assets of Rs. 29.12 Cr; Fixed Assets reduced sharply to Rs. 2.47 Cr (from Rs. 5.66 Cr in FY25) confirming asset disposal; Other Assets (likely cash/receivables) jumped to Rs. 26.65 Cr from Rs. 16.34 Cr.
- **Promoter background:** Promoters (Lippi family — Minesh Shah being the key founder/manager based on news references) hold 51.68% and have maintained this stake unchanged since at least FY20. No promoter pledge reported. The founder joined Image Gravures post-acquisition.
- **Sector / Exchange:** Classified under BSE Industrials — Capital Goods — Industrial Manufacturing. Listed on BSE (526604) and NSE (LIPPISYS). Face Value Rs. 10. Shares outstanding: 70 lakh (7.00 Cr equity capital / Rs. 10 FV).

4. INDUSTRY AND COMPETITIVE LANDSCAPE

- **Gravure cylinder market:** Rotogravure printing cylinders are precision-manufactured consumables for flexible packaging, decorative laminates, and publication printing. The India market is estimated at Rs. 400-600 Cr annually, growing at ~8-10% CAGR, driven by FMCG packaging demand and organised retail expansion.
- **Industry structure:** The market is fragmented — dominated by small and mid-size regional manufacturers. No listed pure-play gravure cylinder company of scale exists in India. Lippi's acquisition by Image Gravures indicates continued consolidation.
- **LIPPISYS competitive position — irrelevant post-sale:** The company no longer competes in this industry. Image Gravures now holds the assets, customers, and workforce that constituted Lippi's competitive position.
- **Flexible packaging adjacency:** The broader flexible packaging sector in which Lippi's cylinders served is represented by listed companies including Uflex (Rs. 15,401 Cr revenue), Huhtamaki India (Rs. 2,178 Cr), and Cosmo First (Rs. 3,255 Cr). These companies are not comparable to a near-shell company.

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	TTM Rev (Cr)
LIPPISYS	153	107	28.5	4.30	20.8*	16.4*	0.00
Huhtamaki India	174	1,315	15.6	1.87	17.6	13.0	2,178
Uflex Ltd	428	3,093	9.30	0.38	6.97	4.28	15,401
Cosmo First	730	1,916	11.9	1.19	11.2	10.5	3,255

Source: Screener.in (fetched 15-Jun-2026). *LIPPISYS ROCE/ROE inflated by one-time disposal gain.

5. MANAGEMENT QUALITY AND CAPITAL ALLOCATION

- **Promoter continuity concern:** The founding management (Minesh Shah and the Lippi family) sold the operating business to Image Gravures and the key operational team has joined the acquirer. The current management of the listed shell entity is unclear from public disclosures.

- **Capital allocation — poor historical track record:** The company has paid zero dividends across its entire listed history despite periods of profitability. No buybacks, no meaningful capex expansion. The decision to dispose of the core business rather than reinvest or restructure suggests strategic inertia.
- **Promoter stake stable but context changed:** Promoters have held 51.68% since FY20, with earlier stake being 46.30% (FY17-18). No pledging. The promoter holding is stable on paper, but the operating rationale for a promoter-controlled shell is unclear.
- **No ESOP, no buyback, no M&A; disclosure:** The company has not announced any acquisition target, reverse merger, or new business line. The proceeds from the factory sale appear to be sitting on the balance sheet (Other Assets jumped from Rs. 16.34 Cr to Rs. 26.65 Cr in FY26).
- **BSE surveillance query:** The stock triggered a BSE surveillance action due to abnormal price movement (523% 1-year return). The company responded it was unaware of any specific reason for the price increase — a red flag for governance transparency.
- **No concall / analyst coverage:** The company has no known investor presentations, earnings calls, or analyst coverage. All financial data is sourced exclusively from Screener.in regulatory filings. Information asymmetry is extremely high.

6. FINANCIAL DEEP-DIVE

Income Statement — Standalone (Rs. Cr)

	FY22	FY23	FY24	FY25	FY26
Sales / Revenue	10.57	-0.02	-0.02	-0.02	0.00
Expenses	11.59	1.93	1.06	0.76	2.18
Operating Profit	-1.02	-1.95	-1.08	-0.78	-2.18
OPM %	-9.65%	N/A	N/A	N/A	N/A
Other Income	3.97	0.64	0.79	0.52	7.99
Interest	0.45	0.00	0.01	0.00	0.04
Depreciation	1.30	0.87	0.86	0.83	0.71
Profit Before Tax	1.20	-2.18	-1.16	-1.09	5.06
Tax %	29.17%	-25.69%	-25.86%	-32.11%	25.49%
Net Profit (PAT)	0.84	-1.62	-0.86	-0.74	3.77
EPS (Rs.)	1.20	-2.31	-1.23	-1.06	5.39

Note: FY26 PAT of Rs. 3.77 Cr is driven by Rs. 7.99 Cr Other Income (factory sale proceeds booked in Q3FY26). Operating profit remains deeply negative.

Balance Sheet — Standalone (Rs. Cr)

	FY23	FY24	FY25	FY26
Equity Capital	7.00	7.00	7.00	7.00
Reserves	15.73	14.87	14.13	17.91
Borrowings	0.17	0.81	0.03	2.96
Other Liabilities	1.69	1.27	0.84	1.25
Total Liabilities	24.59	23.95	22.00	29.12
Fixed Assets	7.43	6.57	5.66	2.47
CWIP	0.00	0.00	0.00	0.00
Investments	0.00	0.00	0.00	0.00
Other Assets	17.16	17.38	16.34	26.65
Total Assets	24.59	23.95	22.00	29.12

Cash Flow Statement — Standalone (Rs. Cr)

	FY23	FY24	FY25	FY26
Cash from Operations (CFO)	-0.32	-1.40	2.09	-15.24
Cash from Investing	0.43	0.72	0.55	10.45
Cash from Financing	-0.28	0.64	-0.78	2.94
Net Cash Flow	-0.17	-0.04	1.86	-1.85
Free Cash Flow (FCF)	-0.43	-1.38	2.15	-5.46

Key Ratios — Standalone

Metric	FY23	FY24	FY25	FY26
Debtor Days	N/A*	N/A*	N/A*	N/A
Inventory Days	0.00	0.00	0.00	N/A
Days Payable	N/A	N/A	N/A	N/A
Cash Conversion Cycle	N/A*	N/A*	N/A*	N/A
ROCE %	-9.14%	-5.09%	-4.88%	20.8%*
Return on Equity %	N/A	N/A	N/A	16.4%*

*Debtor Days shows extreme negative values in Screener (artifact of zero/negative revenue denominator). *ROCE/ROE in FY26 inflated by one-time gain.

- **Revenue trajectory:** Sales declined from Rs. 22.57 Cr (FY15) to Rs. 10.57 Cr (FY22) then collapsed to zero as the core manufacturing business wound down in FY23. No recurring revenue exists.
- **Margin direction:** Operating profit has been consistently negative since FY22 as overheads continue while revenue is absent. Other Income (primarily wind energy + asset sale proceeds) is the only source of income.
- **Working capital:** Traditional working capital metrics are not meaningful with zero revenue. Balance sheet shows Other Assets of Rs. 26.65 Cr in FY26 (vs Rs. 16.34 Cr in FY25), likely representing cash/receivables from the factory sale.
- **Debt position:** Near-zero debt (Rs. 0.03 Cr in FY25), though FY26 shows Rs. 2.96 Cr borrowings — nature unclear. Net worth is Rs. 24.91 Cr (equity + reserves) giving a book value of Rs. 35.6/share.
- **FCF quality:** OCF was deeply negative at Rs. -15.24 Cr in FY26, partly explained by working capital changes related to the asset sale transaction. Investing cash inflow of Rs. 10.45 Cr confirms asset disposal proceeds received.

7. EARNINGS QUALITY CHECKLIST

Quality Signal	Status	Assessment	Verdict
Revenue recognition	Zero revenue	Sales have been Rs. 0 for 3 consecutive years. All income is non-operating.	RED
Receivables vs Revenue	N/A	No revenue, no meaningful receivables ratio.	N/A
CCC trend	Distorted	Screener shows extreme values (-10,000+ days) — artifact of zero-revenue denominator.	RED
Contingent liabilities	Not disclosed	No information available from public filings reviewed.	AMBER
Auditor tenure	Not assessed	No auditor change disclosed in Screener data.	AMBER
RPTs as % of Revenue	N/A	No revenue base; RPTs cannot be assessed.	N/A
Other Income as % of PBT	158%	Other income Rs. 7.99 Cr vs PBT Rs. 5.06 Cr — company is entirely dependent on non-recurring items.	RED
Tax rate consistency	Negative tax	Tax credit (negative tax %) in FY23-FY25 as company booked deferred tax assets on losses.	AMBER

- **CRITICAL RED — Zero operating revenue:** Three consecutive years of zero reported sales is the most fundamental red flag possible. The company has no ongoing business.

• **CRITICAL RED — Earnings are 100% non-recurring:** The Rs. 3.77 Cr PAT in FY26 came from a one-time asset sale. Investors who extrapolate this as 'earnings recovery' are misreading the financials.

• **AMBER — Information opacity:** No investor presentations, no earnings calls, and no forward business plan disclosed. The company issued a BSE clarification stating it is 'unaware' of reasons for its own 523% price rally.

• **AMBER — Balance sheet cash deployment:** Rs. 26.65 Cr of Other Assets (likely cash from factory sale) sits on the books with no disclosed deployment plan. Risk of this being frittered through related party transactions cannot be assessed.

8. VALUATION

• **Earnings-based valuation — not applicable:** The company has no operating earnings. FY26 PAT of Rs. 3.77 Cr is entirely from a one-time disposal gain and cannot be capitalised. Applying a P/E multiple to this would be incorrect.

• **Book value / NAV approach:** Net worth (equity + reserves) as of FY26 = Rs. 7.00 + Rs. 17.91 = Rs. 24.91 Cr. Per share BV = Rs. 35.6 (using 70L shares). CMP of Rs. 153 implies a P/B of 4.30x — extreme for a company with no operating business.

• **NAV-based fair value estimate:** Adjusting for the wind turbine book value (estimated Rs. 2-3 Cr) and Other Assets (Rs. 26.65 Cr, likely mostly cash), net tangible asset value = approximately Rs. 28-30 Cr = Rs. 40-43 per share. This represents a 72% downside from CMP.

• **Reverse merger optionality premium:** If promoters or an acquirer inject a new business into the shell, market participants may ascribe a 'blank cheque' premium. However, this is speculation — no announcement has been made, and such events often destroy value for minority shareholders.

Scenario	Key Assumption	NAV / Value (Cr)	Per Share (Rs.)	vs CMP
BULL	Reverse merger announced; new biz injects 5x book premium	150	214	+40%
BASE	Shell winds down; cash returned at book value	29	41	-73%
BEAR	Cash eroded by costs/RPTs; eventual delisting at 50% BV	14	20	-87%

Base case implies 73% downside. Bull case is speculative (reverse merger). Risk/reward is deeply unfavourable.

9. KEY RISKS

• **No Operating Business Risk:** The company has no revenue-generating operations. Ongoing fixed costs (administration, compliance, depreciation) will erode the cash/asset base over time. Probability: HIGH. Impact: HIGH. Monitor via: quarterly expense reports vs cash balances.

• **Speculative Bubble Risk:** The 523% 1-year price run is not supported by fundamentals. A derating to book value implies ~73% downside. Retail investors drawn in by the price momentum face severe capital loss. Probability: HIGH. Impact: HIGH. Monitor via: P/B vs sector peers.

• **BSE Surveillance / Regulatory Risk:** BSE has already queried the company on abnormal price movement. Further surveillance actions, ASM/GSM categorization, or trading suspensions could trap retail holders. Probability: MEDIUM. Impact: HIGH. Monitor via: BSE exchange filings.

• **Cash Deployment / Related Party Risk:** Rs. 26.65 Cr of balance sheet assets (likely cash) has no disclosed deployment plan. Risk of diversion via related party transactions. Probability: MEDIUM. Impact: HIGH. Monitor via: Annual report RPT disclosures.

• **Wind Turbine Asset Sale Risk:** The board is considering selling the remaining 2 wind turbines. Proceeds would be positive for NAV if at fair value, but removes the last income-generating asset entirely. Probability: HIGH. Impact: MEDIUM. Monitor via: AGM resolutions.

• **Delisting / Exit Risk:** With no operating business, promoters may choose to delist at a price favourable to them. Public shareholders may receive exit prices below CMP. Probability: MEDIUM. Impact: HIGH. Monitor via:

SEBI/BSE filings.

• **Reverse Merger Dilution Risk:** If new business is injected via preferential allotment to promoters at low price, existing public shareholders face dilution. Probability: MEDIUM (if reverse merger occurs). Impact: HIGH. Monitor via: BSE announcements, board meeting agenda.

10. RECOMMENDATION

• **Rating: AVOID** — Conviction: HIGH. This is not a conventional Buy/Sell call. The stock does not qualify as an investable equity at current levels given zero operating revenue, speculative valuation at 4.3x book, and fundamental opacity.

• **12-month price target: N/A** — A price target cannot be derived from zero earnings. The NAV-based estimate of Rs. 40-43 per share represents fundamental value, implying ~73% downside from CMP of Rs. 153. This is not a 'target' but a NAV anchor.

• **Suggested entry zone: DO NOT ENTER** — Below Rs. 40-45 (at or below book value), the downside is limited but the upside is still highly speculative. Any investment requires confirmed news of a credible new business direction.

• **Investment horizon: N/A** — No investment case exists without a new business announcement.

• **Thesis invalidation triggers:** (1) Board announces a definitive acquisition/reverse merger with a viable business and terms that are not dilutive to public shareholders; (2) Promoters announce a dividend/buyback returning Rs. 30+ Cr of the balance sheet cash to shareholders; (3) New management team with operating experience is announced for a specific new business vertical.

• **Ideal investor profile:** This stock is NOT suitable for value, GARP, or growth investors. It may be of speculative interest only to event-driven/special-situation investors with high risk tolerance, small position sizing, and a clear exit plan. Retail investors should avoid entirely.

APPENDIX — Latest Concall Brief: Not Available

CALL GRADE: N/A — NO EARNINGS CALL

Signal	Status	Implication
Earnings call availability	NOT HELD / NOT ACCESSIBLE	Company does not hold investor calls; no transcript on any platform
Result quality (FY26)	Superficially positive	PAT positive only due to one-time factory sale; underlying ops in loss
Management tone	Non-communicative	Company's only BSE communication was a surveillance query response
Guidance delta	None provided	No forward guidance or business plan disclosed to shareholders

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Lippi Systems (LIPPISYS) is a false alarm — the FY26 PAT of Rs. 3.77 Cr looks like a recovery but is entirely from a one-time factory asset sale booked in Q3FY26; strip that out and the company lost Rs. 0.97 Cr in operating expenses across the full year on zero revenue. This is not a gravure cylinder manufacturer anymore — Image Gravures bought the factory, team, and customer relationships; what remains listed is a shell holding ~Rs. 26-27 Cr of cash/assets and 2 wind turbines the board is looking to sell. The stock is up 523% in a year, trades at 4.3x book, and received a BSE surveillance query that the company literally could not explain. There is no earnings-based investment case: ROCE of 20.8% shown in Screener is the disposal gain divided into a small asset base — it will revert to deeply negative next year. The only multi-bagger scenario here is a reverse merger with a credible business at terms fair to minority shareholders — there is zero evidence of this happening. On the downside, the cash can be slowly consumed by admin costs, or worse, deployed into RPTs. My call: AVOID and do not HOLD at these levels. If forced to assign a level, anything above Rs. 50 is unjustifiable on NAV; the base-case exit at book value is Rs. 35-40. Alert me immediately if a board announcement on acquisition or wind turbine sale emerges.

1. Financial Performance Snapshot — Q4FY26 (Mar 2026, latest quarter)

- NOTE: No earnings call available. Data sourced from Screener.in quarterly P&L; filings.
- Revenue Q4FY26: Rs. 0.00 Cr | YoY: flat (zero for 4+ consecutive years) | Result: N/A
- Operating Profit Q4FY26: Rs. -0.82 Cr | worsening QoQ (vs -0.61 in Q3, -0.53 in Q2)
- Other Income Q4FY26: Rs. 0.31 Cr | substantially lower than Q3FY26 (Rs. 7.44 Cr asset sale quarter)
- PAT Q4FY26: Rs. -0.52 Cr | EPS: Rs. -0.74 | Reverting to operating loss post asset-sale
- NOTE: Full-year FY26 PAT of Rs. 3.77 Cr is 100% driven by Q3FY26 one-time asset disposal of Rs. 7.44 Cr other income; underlying annual loss from operations is approximately Rs. -1.20 Cr.

2. Segment / Geography Breakdown

- Manufacturing segment (Gravure Cylinders): Sold to Image Gravures. Zero revenue since FY23. Segment discontinued.
- Wind Power Generation: Two wind turbines operational. Revenue approx. Rs. 0.52 Cr in FY25 (declining from Rs. 0.82 Cr in FY21). Board considering sale of wind assets.
- Asset disposal: Rs. 7.44 Cr booked in Q3FY26 (Dec 2025 quarter) as Other Income from sale of factory land, building, and capital assets.

• Geography: Ahmedabad (Gujarat), India. No export business reported.

3. Management Commentary Themes

• No concall held. Only public communication is the BSE surveillance query response (company stated it was unaware of reasons for the abnormal share price movement).

• Theme: Business exit | The sale of the gravure cylinder business to Image Gravures with the entire team joining the acquirer indicates a planned wind-down of operations, not a strategic pivot within the same business.

• Theme: Asset monetisation | Sequential disposal: first the factory/business (Q3FY26), then possible wind turbine sale (under AGM consideration). No re-investment plan publicly disclosed.

• Theme: Information opacity | Zero investor relations activity, no press releases on business strategy post-disposal, no management interviews found. Tone: Non-communicative.

4. Operating and Business Metrics

• Revenue: 0 Cr (Q1FY26=0, Q2FY26=0, Q3FY26=0, Q4FY26=0) | Trend: Flat at zero since FY23

• Fixed Assets: Rs. 5.66 Cr (FY25) -> Rs. 2.47 Cr (FY26) | Reduction of Rs. 3.19 Cr confirming asset sale

• Other Assets (cash/receivables): Rs. 16.34 Cr (FY25) -> Rs. 26.65 Cr (FY26) | Rs. +10.31 Cr jump = sale proceeds received

• Operating Expenses: Rs. 0.19-0.82 Cr/quarter (admin/compliance costs with no revenue to offset)

• Borrowings: Near-zero trend, Rs. 2.96 Cr in FY26 (up from Rs. 0.03 Cr in FY25) — nature of new debt unclear

5. Margin Drivers

• Operating margin: Structurally negative; no revenue to offset fixed costs of Rs. 0.7-0.8 Cr/quarter. Non-recurring: YES — will not improve without a new business.

• Other income margin: 100% of income is 'Other Income'. FY26's Rs. 7.99 Cr was entirely from the Q3 asset sale. Wind income runs at Rs. 0.13-0.20 Cr/quarter (recurring but small).

• Depreciation: Declining as assets are disposed — Rs. 0.83 Cr (FY25) to Rs. 0.71 Cr (FY26). Will continue falling.

6. Guidance and Forward Signals

• Revenue guidance: NONE PROVIDED. No forward revenue guidance possible without a new business.

• Wind turbine sale: Board resolution pending AGM approval. If approved, removes the last income-generating asset. Estimated book value Rs. 1-2 Cr for both turbines.

• New business direction: None announced. Credibility of any forward guidance: Cannot assess (N/A).

7. Capital Allocation

• Capex: Rs. 0 (no ongoing capex; assets being divested). Vs prior year: declining. Consistent with wind-down.

• Dividends: Rs. 0 — zero dividend paid across entire listed history despite receiving Rs. 7-10 Cr+ from asset sales. Shareholder-unfriendly.

• Buybacks: None announced.

• Net Debt movement: Near-zero borrowings in FY25; Rs. 2.96 Cr debt in FY26 (unexpected; nature unknown).

• Cash from investing (FY26): +Rs. 10.45 Cr (factory sale proceeds). Cash from operations: -Rs. 15.24 Cr (likely working capital movements from asset sale settlement).

8. Q&A; Heat Map

• No earnings call held. No analyst coverage. No Q&A; on record.

- BSE query exchange: BSE surveillance asked the company to clarify the price movement. Company response: 'We are not aware of any reason for the abnormal price movement.' | Tone: Evasive (or genuinely uninformed — equally concerning).
- Dodged / watch-list questions for next quarter: (1) What is the plan for the Rs. 26 Cr on the balance sheet? (2) Is a reverse merger being negotiated? (3) Why has no dividend been declared post the factory sale? (4) What is the expected timeline for wind turbine sale?

9. Risks Flagged

- Shell company risk: No operating business = no earnings; ongoing costs erode cash. | Flagged by: Analyst. | Probability: HIGH | Impact: HIGH | Timeline: Near-term (ongoing).
- Speculative bubble: Stock at 4.3x book with zero earnings. | Flagged by: BSE (surveillance query). | Probability: HIGH | Impact: HIGH | Timeline: Near-term.
- Cash misappropriation: Rs. 26 Cr with no disclosed plan. | Flagged by: Analyst. | Probability: Medium | Impact: HIGH | Timeline: Medium-term.
- Regulatory/delisting: ASM/GSM categorization or compulsory delisting if no business activity. | Flagged by: Analyst. | Probability: Medium | Impact: HIGH | Timeline: Medium-term.

10. Analyst Verdict

- Revenue visibility: BROKEN — Zero revenue for 3+ years with no new business announced.
- Margin trajectory: BROKEN — Operating margin is structurally negative with no reversal path.
- Capital allocation quality: BROKEN — Zero dividends post large asset sale; no reinvestment plan; unexplained new borrowings.
- Competitive moat: BROKEN — Core business sold to a competitor; moat no longer held by the listed entity.
- Management credibility: WEAKENED — Non-communicative on strategy post-disposal; BSE query response inadequate.
- Valuation comfort: BROKEN — 4.3x P/B on a zero-revenue shell is indefensible. 73% downside to NAV.
- Conviction call: EXIT WATCH — Existing holders should reassess. No new entry warranted.
- Valuation snapshot: P/E = 28.5x (5Y avg: negative) | P/B = 4.30x (5Y avg: ~0.8x) | ROCE = 20.8% (5Y avg: negative — FY26 is a one-time distortion)